Marketing Strategy

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Written by: Steve Vorster
Reviewed by: Jenna Quinn
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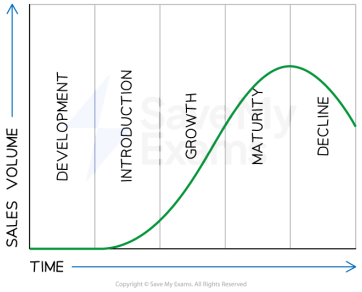
The product life cycle

- The product life cycle describes the **different stages a product goes through** from its conception to its eventual decline in sales
- There are typically **five stages in the product life cycle:** development, introduction, growth, maturity and decline

A typical product life cycle



The five stages a product goes through over its life span — from development to decline (and ultimately withdrawal from a market)

- The implications for **cash flow** and **marketing** vary at each stage of the product life cycle
- Companies should **tailor their marketing strategies** and manage their cash flow to ensure long-term profitability and success

The product life cycle, cash flow and marketing strategy

Stage	Explanation	Implication
Development	• The focus is on designing and developing the product • The business **usually incurs high costs** for research and development, market	• Cash flow is **usually negative** during this stage, as the company is investing heavily in the product without generating any **revenue**

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

		focused on **creating awareness and generating interest** in the product
Introduction	• The stage begins when the product is launched • It is characterised by **slow sales growth**, as the product is still new and unknown to most consumers	• **Cash flow is usually negative**, as the business usually incurs high costs for promotion, advertising and distribution • Marketing efforts are focused on **creating awareness and generating interest** in the product
Growth	• The product enters this stage when sales begin to increase rapidly • The business focus shifts to building market share and increasing production to **meet the growing demand**	• **Cash flow** usually turns **positive** during this stage as sales revenue increases and costs are spread out over a larger volume of production • The marketing strategy is to **differentiate the product** from its competitors and build brand loyalty
Maturity	• This is characterised by **slowing sales growth** as the product reaches its peak in terms of **market penetration**	• **Cash flow is usually positive** during this stage, as sales revenue continues to come in and costs are reduced through **economies of scale** and efficient production processes

		market share and increase profitability by cutting costs and finding new markets
Decline	• This starts when sales begin to decline as the product **becomes obsolete** or is replaced by newer products • The business focus shifts to managing the product's decline and reducing costs	• Cash flow **usually turns negative**, as sales revenue declines and costs associated with the product's decline increase • The marketing strategy may involve discontinuing the product, **reducing its price to clear inventory** or finding new uses for the product

Extension strategies to the product life cycle

Help me understand

- Extension strategies refer to the techniques used by businesses to **extend the life of a product beyond its natural life cycle**
- These strategies are **designed to boost sales** and maintain profitability for a product that has **reached the decline stage** of its life cycle
- There are two types of extension strategies:
  - Product-related extension strategies
  - Promotion-related extension strategies
- By making product- and promotion-related changes, businesses can continue to **appeal to customers** and extend the life of their products

Product-related extension strategies

- Involves **changing or modifying the product** to make it more appealing to customers and extend its life cycle, which can be achieved in one of three ways:
  - **Product improvements** (e.g. Samsung releases new versions of its Galaxy Smartphone every year with upgraded features and improvements to the previous model)

- **Repositioning** (e.g. when IBM's personal computer division started losing market share to other brands, it repositioned its products as high-end business machines and focused on the enterprise market)

Promotion-related extension strategies

- Involves changing the marketing and promotion of the product to extend its life cycle and could include one or more of the following changes:
  - **Changes to advertising** (e.g. Kellogg's continues to recreate adverts for its Corn Flakes cereal, which has been around since 1906)
  - **Price promotions** (e.g. Cyber Monday occurs on the first Monday after Thanksgiving in the US, and electronics firms discount prices significantly to boost sales of their products)
  - **Sales promotions** (e.g. many coffee shops offer a **loyalty program** in which customers can earn a free drink for every six consumed)

Boston Matrix and the product portfolio

- The Boston Matrix is a tool used by businesses to **analyse their product portfolio** and make **strategic decisions** about each product
- The matrix classifies products into four categories based on their **market share** and the **market growth rate**:
  - Cash cow
  - Problem child/question mark
  - Star
  - Dog

The Boston Matrix

The classification of products in the Boston Matrix according to their market share and the growth rate in the market as a whole

- By categorising products into these categories, businesses can **allocate resources more effectively**, optimising their cash flow and developing marketing strategies that align with the product's potential

Product type	Explanation	Implications
Cash cow	• Cash cows are products with a **high market share in a mature market** (the entire market is no longer growing)	• They generate **significant positive cash flow** but have low growth potential • The business invests minimal resources in cash cows, as they are seen as stable sources of income • Marketing efforts focus on **maintaining their market share** and profitability • Cash cows are valuable assets and can be used to fund the development of new products
Problem child / question mark	• Problem child or question mark products have a **low market share in a high-growth** market • These products have the potential to become stars if the company invests in their development	• There is often a **negative cash flow**, as businesses usually invest in problem child products to increase their market share and **turn them into stars** • If the investment does not result in growth, the business may discontinue the product • Marketing efforts focus on **increasing market share** and brand recognition
Star	• Star products have a **high market share in a high-growth market** • The company typically invests in stars to maintain or	• They generate **significant positive cash flow** and have the potential for continued growth • Marketing efforts focus on building **brand recognition**,

		profitability • Stars are valuable assets, and the business should focus on maximising their potential
Dog	• Dog products have a **low market share in a low-growth market**	• They generate **little revenue** for the company and have no growth potential • Businesses often **move away (divest)** from these to focus on more profitable products • Marketing efforts for dog products are minimal or zero

Marketing strategies for different types of markets

- **Marketing strategies** vary depending on the **type of market** being targeted:
  - Mass markets, niche markets, business-to-business (B2B) markets and business-to-consumer (B2C) markets

Mass markets

- Mass markets are characterised by large numbers of customers who have **similar needs and wants** (e.g. retail clothing)
- Mass markets **focus on building brand awareness** and appealing to a broad audience
  - Advertising campaigns are usually designed to **reach as many people as possible** and use mass media such as TV, radio and print ads
  - The messages are often simple, and the goal is to create a strong brand identity that resonates with a **large segment** of the population

Niche markets

- Niche markets are characterised by **smaller groups of customers with specific needs and wants** (e.g. organic food stores, luxury car dealerships)
- Marketing strategies focus on **targeting a specific segment** of the population and building relationships with them
  - Advertising campaigns are usually more targeted and may use social media to reach potential customers

Business-to-business

- B2B marketing focuses on **selling products to other businesses** (e.g. software companies selling to other businesses, manufacturers selling parts to other manufacturers)
- In B2B marketing, the emphasis is on building relationships with other businesses and demonstrating how **your product can help** them be more successful
  - Advertising campaigns may include case studies that demonstrate the value of your product/service
  - The messages are often **more technical** and may focus on features and benefits that are relevant to other businesses

Business-to-consumer

- B2C marketing focuses on selling products/services **directly to consumers** (e.g. clothing retailers)
- In B2C marketing, the emphasis is on **building brand loyalty** and creating a **positive customer experience**
  - Advertising campaigns may include social media ads or influencer marketing campaigns that appeal to the emotions of consumers
  - The messages are often more **emotional** and may focus on the **lifestyle benefits** of using the product/service

Developing customer loyalty

- Developing **customer loyalty** helps businesses to grow and be successful in the long term
- Customer loyalty drives **repeat purchases**, which helps the firm to **reduce marketing costs** when launching new products
- Three commonly used methods of building customer loyalty include providing excellent **customer service, offering loyalty cards** and offering **saver schemes**

Ways to develop customer loyalty

Method	Explanation	Example

Customer service	• When customers have a positive customer service experience, they are **more likely to return** and recommend	• **Zappos** is an online retailer that is well known for its **exceptional customer service**
		  ○ It offers free shipping and returns
		  ○ Its customer service representatives

Loyalty cards	• A popular way for businesses to encourage repeat customers
	• These cards typically **offer rewards or discounts** for frequent purchases
		• **Sephora** has a loyalty programme called "Beauty Insider"
		  ○ Members earn points for every purchase they make
		  ○ They can **redeem those points** for beauty products or experiences

Saver schemes	• These schemes typically offer **discounts or special pricing** for customers who save money with them • This helps customers gradually save up some money that can be used at periods when **food bills are usually higher** (e.g. Christmas)	• **Sainsbury's** offers a Christmas savings scheme ○ Its discounts are then usually between 2% and 6%

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